

Interest Subsidy for Textile Units

DRAFT FOR REVIEW | SCHEME | D012

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Haryana's textile Interest Subsidy Scheme addresses the cost of qualifying term loans for new projects, expansion, diversification and modernisation. It is relevant to the financing of the investment, so the bank sanction and interest actually paid are central to the assessment.

The scheme was notified on 5 July 2023 under the Haryana AatmaNirbhar Textile Policy. The May 2025 amendment extended the policy and its related schemes to 18 December 2026. That extension does not establish an applicant's remaining support period or confirm that a particular claim can still be filed.

Match the loan to the textile activity

The notification sets separate arrangements for textile MSMEs and textile-machinery manufacturing MSMEs. For textile MSMEs, it specifies 6% interest support with a ₹20 lakh annual ceiling in B blocks, and 7% with respective annual ceilings of ₹30 lakh and ₹50 lakh in C and D blocks, for seven years. The machinery-manufacturing category has different limits.

A loan for unrelated expenditure should not be added to the claim merely because the borrower is a textile company. The project needs to satisfy the scheme's new-investment or expansion definition and its eligible term-loan and production conditions.

Show the investment and borrowing chronology

Prepare the bank sanction, drawdown schedule, interest certificate, repayment statement and the machinery or project schedule financed by the loan. Existing businesses should establish the fixed-investment baseline against which the expansion is being assessed. Identify sanction, disbursement, completion and commercial-production dates separately.

The scheme's definition of expansion refers to more than 25% additional investment against existing gross fixed capital and completion within the stipulated period. This needs a defensible accounting and project record rather than a new label for ordinary expenditure.

For annual claims, reconcile the lender's interest certificate with the books and loan statement. Separate penal interest, arrears or unrelated charges for review instead of applying the rate to all bank debits.

Can I receive both textile capital and interest assistance?

The provisions for each benefit and their interaction must be assessed against the same cost and financing schedule. Read [Textile Capital Investment Subsidy](#) as a separate component, not an automatic additional receipt.

Official references

[Textile Interest Subsidy notification](#); [textile policy extension](#).

Discuss the next step

For help assessing the project and preparing the applicable subsidy work, see [Subsidy & Incentive Advisory](#).

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[Discuss your project](#). An expert consultant from Rapid will call you.

Source links

Links retained from this manuscript. Consult the referenced authority for current requirements; the PDF drafting date does not establish that a source remains current.

1. Textile Interest Subsidy notification

<https://cdnbbsr.s3waas.gov.in/s3f48c04ffab49ff0e5d1176244fdb65c/uploads/2023/07/2023070661.pdf>

2. textile policy extension

<https://cdnbbsr.s3waas.gov.in/s3f48c04ffab49ff0e5d1176244fdb65c/uploads/2025/05/202505071229341788.pdf>